

**SUPERIOR COURT, STATE OF CALIFORNIA
COUNTY OF SANTA CLARA**

Department 19, Honorable Theodore C. Zayner Presiding

Maggie Castellon, Courtroom Clerk
191 North First Street, San Jose, CA95113
Telephone: 408.882.2310

To contest the ruling, call (408) 808-6856 before 4:00 P.M. or email department19@scscourt.org. Please state your case name, case number, the name of the attorney and contact number. It would also be helpful if you could identify the specific portion or portions of the tentative ruling that will be contested. Please also make sure you have notified the other side in a timely fashion that you are contesting the tentative ruling. (See R. Ct. 3.1308(a)(1); Local Rule 8.E.)

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LAW AND MOTION TENTATIVE RULINGS

DATE: April 9, 2025

TIME: 1:30 P.M.

PREVAILING PARTY SHALL PREPARE THE ORDER

UNLESS OTHERWISE STATED (SEE [RULE OF COURT 3.1312](#))

LINE #	CASE #	CASE TITLE	RULING
LINE 1	18CV338709	McGill v. On-Site aka On-Site Manager, Inc., et al. (Class Action)	See Line 1 for tentative ruling.
LINE 2	21CV391898	Gatchalian v. CKS Prime Investments, LLC, et al. (Class Action)	See Line 2 for tentative ruling.
LINE 3	22CV397297	Ngo v. Intuitive Surgical, Inc., et al. (Class Action/PAGA)	See Line 3 for tentative ruling.
LINE 4	22CV409085	Olivo v. Khanna Enterprises General Partner, et al. (Class Action)	See Line 4 for tentative ruling.
LINE 5	23CV410334	Becerril v. Watersavers Irrigation, Inc. (Class Action)	See Line 5 for tentative ruling.
LINE 6	24CV438841	Zamorano v. TKS Restaurants, LLC, et al. (Class Action)	No Opposition filed. Motion is GRANTED.
LINE 7			
LINE 8			
LINE 9			

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LAW AND MOTION TENTATIVE RULINGS

LINE 10			
LINE 11			
LINE 12			
LINE 13			

Calendar Line 1

Case Name: McGill v. On-Site aka On-Site Manager, Inc., et al. (Class Action)
Case No.: 19CV338709

The above-entitled action comes on for hearing before the Honorable Theodore C. Zayner on April 9, 2025, at 1:30 p.m. in Department 19. The court now issues its tentative ruling as follows:

I. Introduction

This is a putative class action. According to the allegations of the operative Fifth Amended Class Action Complaint for Damages and/or Declaratory Relief and/or Injunctive Relief (“FAC”), filed September 16, 2024, plaintiff Lowri McGill (“Plaintiff”) was a resident and tenant at a residential rental property known as Vine by Vintage. (FAC, ¶ 1.) Plaintiff has now vacated the unit. (Ibid.)

Defendants Woodstone by Vintage, L.P. (“Woodstone”), Hearthstone Housing Foundation (“HHF”), (collectively, “Defendants”) are allegedly the owners, operators, and managers of Vine by Vintage. (FAC at ¶ 2.) Plaintiff alleges that Hearthstone CA Properties I, LLC (“Hearthstone”) is HHF’s alter ego. (*Id.* at ¶ 4.)

Plaintiff alleges that during her tenancy, she was subject to a form lease that contained number of unenforceable provisions. (FAC at 1, 10-11, 14-16.) As is relevant here, paragraph five of the lease allegedly provides that “there is a late fee of \$50 if rent is not paid within 2 days of the due date,” “it is impracticable and extremely difficult to fix the amount of damages suffered by owner,” and the late fee “is ‘reasonable approximation’ of the damages incurred for such breach.” (*Id.* at ¶ 11.) Plaintiff alleges the late fee provision violates Civil Code sections 1671, subdivisions (c) and (d).¹ (Ibid.) Plaintiff further alleges that “[t]he payment of late fees

¹ Civil Code section 1671, subdivisions (b) and (c) provide:

(b) Except as provided in subdivision (c), a provision in a contract liquidating the damages for the breach of the contract is valid unless the party seeking to invalidate the provision establishes that the provision was unreasonable under the circumstances existing at the time the contract was made.

were unfair acts under the Unfair Business Practices Act, Business and Professions Code section 17200, et seq. in that they were unlawful as in Violation of the statutes alleged, the practices were unfair ... in that they violated the law as set forth,” and “[t]he practices were fraudulent, in that tenants would be led to believe that the provisions were enforceable and that the late fee charges were legitimate when they are not.” (FAC at ¶ 24.) Plaintiff allegedly paid late fees pursuant to paragraph of the lease and, therefore, sustained damages. (FAC at ¶ 25.) Based on these allegations, the FAC asserts the following causes of action: (1) Violation of Unfair Business Practices Act for Injunctive Relief and/or Restitution Class Action; (2) Violation of Civil Code section 1671; (3) Violation of Corporations Code section 15904.01 *et seq.*; (4) Promissory Estoppel; and (5) Breach of Contract.

Now before the court is defendant HHF’s demurrer to the entirety of the FAC and each cause of action therein. Plaintiff opposes the demurrer.

II. Requests for Judicial Notice

A. Defendant’s Request

In connection with its demurrer, defendant HHF asks the court to take judicial notice of various court records filed in this action, both in this court and in the Court of Appeal, Sixth Appellate District. These items are attached as Exhibits 1-30 to HHF’s request for judicial notice (“RJN Nos. 1-30”). These items are proper subjects of judicial notice under Evidence Code section 452, subdivision (d), which permits judicial notice of “[r]ecords of any court of this state.” (See *People v. Woodell* (1998) 17 Cal.4th 448, 455 (*Woodell*) [court may take judicial notice of court records but “cannot take judicial notice of the truth of hearsay statements is decisions or court files, including pleadings, testimony, or statements of fact.”].)

(c) The validity of a liquidated damages provision shall be determined under subdivision (d) and not under subdivision (b) where the liquidated damages are sought to be recovered from either:

Accordingly, the court GRANTS the request for judicial notice as to the existence of the court records in question, but not as to the truth of any hearsay statements contained therein.

B. Plaintiff's Request

In connection with its opposition, Plaintiff asks the court to take judicial notice of documents previously filed in this action on January 18, 2022, in connection with defendant Hearthstone's motion for summary adjudication. These items are attached as Exhibit A to Plaintiff's request for judicial notice ("RJN Ex. A"). These items are proper subjects of judicial notice as Evidence Code section 452, subdivision (d), which permits judicial notice of "[r]ecords of any court of this state." (See *Woodell, supra*, 17 Cal.4th at p. 455 [court may take judicial notice of court records but "cannot take judicial notice of the truth of hearsay statements is decisions or court files, including pleadings, testimony, or statements of fact."].)

Accordingly, the court GRANTS the request for judicial notice as to the existence of the court records in question, but not as to the truth of any hearsay statements contained therein.

III. Legal Standard for Demurrer

A demurrer tests the legal sufficiency of the complaint. (*Chen v. PayPal, Inc.* (2021) 61 Cal.App.5th 559, 568.) Consequently, it "reaches only to the contents of the pleading and such matters as may be considered under the doctrine of judicial notice." (*Weil v. Barthel* (1955) 45 Cal.2d 835, 837; see also Code Civ. Proc., § 430.30, subd. (a).) "It is not the ordinary function of a demurrer to test the truth of the plaintiff's allegations or the accuracy with which he describes the defendant's conduct. ... Thus, ... the facts alleged in the pleading are deemed to be true, however improbable they may be." (*Align Technology, Inc. v. Tran* (2009) 179 Cal.App.4th 949, 958, internal citations and quotations omitted.)

In ruling on a demurrer, the allegations of the complaint must be liberally construed, with a view to substantial justice between the parties. (*Glennen v. Allergan, Inc.* (2016) 247

Cal.App.4th 1, 6.) Nevertheless, while “[a] demurrer admits all facts properly pleaded, [it does] not [admit] contentions, deductions or conclusions of law or fact.” (*George v. Automobile Club of Southern California* (2011) 201 Cal.App.4th 1112, 1120.) A demurrer will succeed where the allegations and matters subject to judicial notice clearly disclose a defense or bar to recovery. (*Casterson v. Superior Court* (2002) 101 Cal.App.4th 177, 183.)

IV. Discussion

Defendant HHF demurs to the entire FAC and to all five causes of action on the grounds that the pleading fails to state sufficient facts to constitute a cause of action, pursuant to Code of Civil Procedure, section 430.10, subdivision (e). (Demurrer, p. 2.)

A. Background

HHF initially supports its demurrer with a summary of the proceedings in this action going back to January 2022. (HHF’s Memorandum, pp. 4:2-13.12.) On January 18, 2022, defendant Hearthstone moved for summary adjudication of Plaintiff’s cause of action for violation of California’s Unfair Competition Law (Business and Professions Code, section 17200, *et seq.* (“UCL”)). Plaintiff alleged that Woodstone and Hearthstone violated the UCL by including a void \$50 late rent fee clause in her apartment lease with Woodstone. Hearthstone contended it did not violate the UCL because it was not involved in and had no knowledge of the alleged unlawful practice. On May 27, 2022, Plaintiff filed her fourth amended complaint, formally bringing HHF into the action.

On June 21, 2022, the court (Hon. Patricia M. Lucas) issued an order granting Hearthstone’s motion for summary adjudication of the UCL cause of action. (June 21, 2022 Order Re: Motion for Summary Adjudication (“June 2022 MSA Order”).) As the court explained, Hearthstone presented evidence that it did not participate in the practice of including the late fee provision in tenant contracts or in the collection of late rent fees from tenants. The evidence established that Hearthstone was formed to act as a vehicle to aid low-income rental housing project owners in obtaining a property tax exemption. Hearthstone’s work on the project was limited to monitoring compliance with property tax exemption regulations, and Hearthstone did not participate in the decision to include the late rent fee clause in lease

agreements. Hearthstone also presented evidence that the entities dealing with Woodstone tenants (Woodstone, Woodstone by Vintage Partners, LLC, and FPI Management, Inc.) were not Hearthstone's agents in their dealings with tenants. (*Id.* at pp. 5:27-7:23.)

After finding that Hearthstone met its initial burden, the court rejected Plaintiff's contention that Hearthstone had an affirmative obligation under the law and under Woodstone's limited partnership agreement ("LPA") to stop the alleged unlawful practice. (June 2022 MSA Order, pp. 7:24-8:18) The court also found no merit to Plaintiff's arguments that Hearthstone is liable under an agency or alter ego theory. (*Id.* at pp. 8:19-9:18.) Finally, the court addressed Plaintiff's contention that Hearthstone is liable under Corporation Code section 15904.04, subdivision (a), which imposes joint and severable liability on general partners of a limited partnership. (*Id.* at pp. 9:19-10:3.) The court stated: "Corporations Code section 15904.04, subdivision (a) is not basis on which to deny the motion because Plaintiff failed to allege in the [third amended complaint ("TAC")] that Hearthstone is liable under that statute—despite having had the benefit of [Hearthstone]'s motion for two months before the TAC was filed." (*Ibid.*)

On July 6, 2022, Defendants Woodstone, Hearthstone, and HFF demurred to the TAC's second cause of action for negligence. Defendants argued that a tort duty of care to ensure the legality of a liquidated damages clause was not recognized under California law. Plaintiff countered that a tort duty arises from Civil Code section 1671, relying upon *Beasley v. Wells Fargo Bank* (1991) 235 Cal.App.3d 1383 (*Beasley*), which held that section 1671 codified a right to seek monetary relief from a void liquidated damages clause. On September 28, 2022, the court (Hon. Patricia M. Lucas) issued an order sustaining the demurrer without leave to amend. (September 28, 2022 Order Re: Demurrer to Third Amended Class Action Complaint ("September 2022 Demurrer Order").) The court concluded that a tort duty of care cannot be inferred from Civil Code section 1671 and that *Beasley* holds that a contracting party may seek relief from a "contractual penalty" under section 1671, but not that there is a "tort duty to ensure the legality" of residential lease terms. (*Id.* at pp. 4-5.) The court declined to grant leave to amend because Plaintiff failed to show a reasonable possibility that the defect was curable.

On October 11, 2022, the court entered a judgment in favor of Hearthstone against Plaintiff, noting that no claims remained against Hearthstone after the court granted summary adjudication motion and sustained the demurrer. On February 8, 2023, after Plaintiff filed a notice of appeal from the judgment, the court granted Plaintiff leave to file a fourth amended complaint, which Plaintiff did the following day. On March 14, 2023, the court stayed the action pursuant to the parties' stipulation pending resolution of Plaintiff's appeal.

On February 15, 2024, an unpublished 28-page opinion was filed in the Sixth Appellate District of the Court of Appeal. (RJN No. 30 ("Opinion").) The court found no error by the trial court in granting summary adjudication of Plaintiff's UCL claim. (*Id.* at pp. 12-19.) The court also found no error by the trial court in sustaining Hearthstone's demurrer to the negligence claim. (*Id.* at pp. 19-22.) The court also found no abuse of discretion by the trial court in not granting Plaintiff leave to amend. (*Id.* at pp. 22-28.) The court explained that Plaintiff's proposed fourth amended complaint added four new causes of action: violation of Civil Code section 1671, promissory estoppel, negligent misrepresentation, and breach of contract. (*Id.* at pp. 22-23.) "Each of the new causes of action were premised on the allegedly illegal late rental fee clause." (*Id.* at p. 23.) The court discussed each of the new claims and concluded none of them alleged a valid cause of action against Hearthstone and that Plaintiff failed to show a reasonable possibility that the defects could be cured. (*Id.* at pp. 24-28.) The California Supreme Court denied Plaintiff's petition for review.

B. Demurrer to the FAC

The FAC asserts the following causes of action against Defendant HHF: (1) Violation of Unfair Business Practices Act for Injunctive Relief and/or Restitution Class Action; (2) Violation of Civil Code section 1671; (3) Violation of Corporations Code section 15904.01 *et seq.*; (4) Promissory Estoppel; and (5) Breach of Contract.

Defendant HHF demurs to the entire FAC, contending that the judgment entered in Hearthstone's favor ended Plaintiff's case against HHF as well because HHF is Hearthstone's sole member and manager. (HHF's Memorandum, pp. 4:14-5:9, 13:19-15:6.) HHF argues that the doctrine of issue preclusion (collateral estoppel) compels this court to sustain its demurrer

as to all of the FAC's claims. HHF contends that the law of the case doctrine supports a demurrer as to each of the claims addressed by the Court of Appeal in its Opinion. HHF further argues that, even if the law of the case doctrine does not apply, the appellate court's reasoning itself represents an independent ground on which the court may sustain the demurrer as to those claims. Finally, HHF contends that Plaintiff's allegation that Hearthstone is HHF's alter ego bars her case against HHF too, reasoning that Plaintiff's rights against HHF can be no greater than her rights against Hearthstone. In addition to arguing that the demurrer should be sustained as to the entire FAC for the above reasons, HHF details each of these arguments with respect to each of the FAC's claims. (*Id.* at pp. 15:7-20:17.)

Plaintiff makes four basic arguments in opposition. (Opposition, pp. 8-14.) First, Plaintiff contends that there is no claim preclusion in the scenario set forth by HHF. (*Id.* at pp. 9:10-11:22.) Plaintiff relies upon *Morris v. Bank* (2001) 94 Cal.App.4th 823, for the proposition that claim preclusion (res judicata) does not apply to issues not raised by the complaint and not actually litigated and necessarily decided in the prior litigation. Plaintiff contends that res judicata cannot apply to the second and third causes of action (for violation of Civil Code section 1671 and violation of Corporations Code section 15904.01) because these causes of action have not been decided on their merits. (Opposition, p. 10:8-15.)

Nevertheless, HHF points out in reply that it has not made a claim preclusion (res judicata) argument in support of its demurrer. (Reply, pp. 2:14-3:6.) Indeed, while HHF's memorandum references the doctrine of res judicata and the requirement that of separate or successive suits, it does so to point out that issue preclusion has no such requirement. (HHF's Memorandum, p. 15:17-23.) HHF's only other reference to res judicata is with respect to its applicability to Hearthstone, as it relates to Plaintiff's alter ego theory. (*Id.* at p. 14:4-11.) Accordingly, Plaintiff's res judicata discussion does not respond to HHF's arguments in demurrer and does not provide a sufficiently developed basis to overrule the demurrer.

Second, Plaintiff argues that there is no issue preclusion (collateral estoppel) in the scenario set forth by HHF. (Opposition, pp. 11:23-13:10.) The doctrine of issue preclusion "applies: (1) after final adjudication (2) of an identical issue (3) actually litigated and necessarily decided in ... [a prior proceeding] and (4) asserted against one who was a party in

the ... [prior proceeding] or one in privity with that party.” (*DKN Holdings LLC v. Faerber* (2015) 61 Cal.4th 813, 825 (*DKN*)). It operates to prevent “relitigation of previously decided issues.” (*Id.*, at p. 824.) The defense can be raised by demurrer (*Hernandez v. City of Pomona* (2009) 46 Cal.4th 501, 512, 522) and “by one who was not a party” to the prior proceeding. (*DKN*, *supra*, 61 Cal.4th at p. 824.) While *res judicata* has been held to require separate or successive lawsuits, issue preclusion does not. (*Samara v. Matar* (2017) 8 Cal.App.5th 796, 804, 806-807, *aff’d* on another ground, (2018) 5 Cal.5th 322, 338.²)

Here, HHF contends that the judgment in Hearthstone’s favor has issue preclusive effect because it is based on a final adjudication “that Hearthstone did not participate in any way in the alleged unlawful practice of including void late rent fee clauses in Woodstone’s tenant leases.” (HHF’s Memorandum, pp. 15:24-16:6.) HHF contends this issue was actually litigated and necessarily decided, and that Plaintiff was a party to the proceeding. (*Ibid.*) While Plaintiff presents a summary of legal authority regarding issue preclusion in opposition, she does not explain why the doctrine cannot be applied here. (Opposition, pp. 11:23-13:10.) Instead, she asserts that “the issues do not appear to have been litigated and were expressly precluded from being heard, issue preclusion too does not appear to apply.” (*Id.* at p. 13:9-10.) The court finds this argument unpersuasive, particularly because Plaintiff does not identify which issues she contends do not appear to have been litigated. Accordingly, Plaintiff’s discussion regarding issue preclusion does not provide a sufficiently developed basis to overrule the demurrer.

Third, Plaintiff contends that the doctrine of *res judicata* requires a second suit, and that the case against HHF is not a separate suit and alter ego status was never adjudicated. (Opposition, p. 13:11-26.) Nevertheless, Plaintiff does not dispute HHF’s argument that the final judgment in Hearthstone’s favor prevents her from suing Hearthstone again in this action, and that the same judgment prevents Plaintiff from suing Hearthstone again in a separate matter regarding the late rate fees. (HHF’s Memorandum, pp. 14:4-11; Reply, p. 3:21-24.) It is

² HHF points out that in its affirmance of the Court of Appeal’s opinion in *Samara v. Matar* (2017) 8 Cal.App.5th 796, the California Supreme Court neither approved nor disapproved the appellate court’s holding that claim preclusion requires separate or successive lawsuits. (*Samara v. Matar* (2018) 5 Cal.5th 322, 338.)

evident that Plaintiff is seeking the same relief from HHF that she could not recover from Hearthstone while alleging that Hearthstone's is HHF's alter ego and not disputing that HHF is Hearthstone's sole member and manager. Plaintiff's arguments in opposition are unclear and appear designed to avoid HHF's contention that she is seeking the same relief that she was denied previously without any sufficient basis. Again, the court finds Plaintiff's arguments to insufficient to withstand demurrer.

Finally, Plaintiff argues that the issue of whether the UCL requires more than misfeasance has not been determined for purposes of res judicata. (Opposition, p. 14:1-26.) As the court understands it, Plaintiff contends that "the court should not adjudicate a UCL secondary liability cause against HHF without determining the issue" of "whether a party having secondary or agency status may not have UCL liability for misfeasance except in cases where the underlying law requires scienter on the part of the agent." (*Ibid.*) Plaintiff asserts that no published opinion has ever decided such an issue. (*Ibid.*) Similarly, HHF states it "has not found any published appellate court opinion discussing a fact pattern similar the one involved here." (Reply, p. 5:1-6.) HHF suggests that a possible explanation for the lack of authority is that, when one of two co-defendants obtains a judgment of dismissal on the merits, a plaintiff would not typically then allege that the non-dismissed co-defendant is the alter ego of defendant who was dismissed.

In sum, the court finds merit to HHF's demurrer to the entire FAC for multiple reasons, not the least of which being the law of the case doctrine.

The law of the case doctrine states that when, in deciding an appeal, an appellate court states in its opinion a principle or rule of law necessary to the decision, that principle or rule becomes the law of the case and must be adhered to throughout its subsequent progress, both in the lower court and upon subsequent appeal ..., and this although in its subsequent consideration this court may be clearly of the opinion that the former decision is erroneous in that particular.

(*Kowis v. Howard* (1992) 3 Cal.4th 888, 892-893, internal quotations marks and citations omitted.) The Court of Appeal's reasoning remains applicable here, and HHF presents additional compelling arguments in support of its demurrer. Plaintiff does not discuss the law of the case doctrine in opposition and does not offer any developed and persuasive argument in support of her opposition to the demurrer. In addition, Plaintiff has not shown a reasonable

possibility she can amend her complaint to address the defects identified by the demurrer.
(*Blank v. Kirwin* (1985) 39 Cal.3d 311, 318.)

V. Conclusion

For the foregoing reasons, the demurrer to the FAC is SUSTAINED without leave to amend.

The prevailing party shall prepare the order in accordance with California Rules of Court, rule 3.1312.

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Calendar Line 2

Case Name: Gatchalian v. CKS Prime Investments, LLC, et al. (Class Action)
Case No.: 21CV391898

The above-entitled action comes on for hearing before the Honorable Theodore C. Zayner on April 9, 2025, at 1:30 p.m. in Department 19. The court now issues its tentative ruling as follows:

I. Introduction

This is a putative class action arising from alleged unlawful debt collection practices. On December 14, 2021, plaintiff Harriet Gatchalian (“Plaintiff”) began this action by filing a class action complaint.

On July 23, 2024, Plaintiff the operative second amended class action complaint (“SAC”) against defendants: CKS Prime Investments, LLC (“CKS”), Webcollex, LLC (“Webcollex”), Cawley & Bergmann, LLC (“C&B”), National Recovery Associates, Inc. (“NRA”), and Balbec Capital, LP (“Balbec”) (collectively, “Defendants”). The SAC asserts the following causes of action: (1) violation of Business and Professions Code section 17200 (against CKS, Balbec, and Webcollex); (2) violation of the California Fair Debt Buying Practices Act (“CFDBPA”) (against CKS, Balbec, and Webcollex); and (3) violation of the Rosenthal Fair Debt Collection Practices Act (“RFDCPA”) (against all Defendants).

On August 22, 2024, Defendant NRA filed a demurrer to the third cause of action in Plaintiff’s SAC. On November 22, 2024, the court issued an order overruling NRA’s demurrer.

On December 6, 2024, Defendant Balbec filed a motion for sanctions, seeking (among other things) nonmonetary sanctions in the form of a dismissal. The motion is currently scheduled to be heard on April 30, 2025.

Now before the court is Plaintiff’s motion for class certification. Defendants C&B and NRA have submitted a joint opposition to the motion, and Defendants CKS and Balbec have submitted a separate joint opposition to the motion. Plaintiff has submitted a reply.

II. Motion for Class Certification

Plaintiff moves to certify a class of:

All persons with addresses in California against whom Defendants collected a charged-off consumer debt originated by LendingClub Corporation and originally owed to WebBank, which was sold or resold to CKS on or after January 1, 2014, during the period beginning June 19, 2017, through the date of class certification.

Plaintiff further seeks to certify a subclass, defined as:

All persons with addresses in California against whom Defendants collected or attempted to collect a charged-off consumer debt on behalf of CKS or Balbec, which was originated by LendingClub Corporation and originally owed to WebBank, which was sold or resold to CKS or Balbec, on or after January 1, 2014, during the period beginning December 14, 2020, through the date of class certification.

Defendants CKS and Balbec oppose Plaintiff's motion, urging that the proposed class and subclass are overbroad and not ascertainable, common questions of law and fact do not predominate, typicality is not demonstrated, plaintiff cannot adequately represent the class, numerosity is not satisfied, and a class action is not superior to individual lawsuits.

Defendants C&B and NRA also oppose Plaintiff's motion, contending that Plaintiff cannot establish a community of interest, the merits of Plaintiff's claim are enmeshed with class issues, common questions of law do not predominate, common issues of fact are outweighed by individualized facts, and Plaintiff has not met her burden to demonstrate numerosity against C&B and NRA.

A. Legal Standard

As explained by the California Supreme Court,

The certification question is essentially a procedural one that does not ask whether an action is legally or factually meritorious. A trial court ruling on a certification motion determines whether the issues which may be jointly tried, when compared with those requiring separate adjudication, are so numerous or substantial that the maintenance of a class action would be advantageous to the judicial process and to the litigants.

(*Sav-On Drug Stores, Inc. v. Superior Court* (2004) 34 Cal.4th 319, 326, internal quotation marks, ellipses, and citations omitted (*Sav-on Drug Stores*).)

California Code of Civil Procedure section 382 authorizes certification of a class "when the question is one of a common or general interest, of many persons, or when the parties are

numerous, and it is impracticable to bring them all before the court” As interpreted by the California Supreme Court, section 382 requires: (1) an ascertainable class and (2) a well-defined community of interest among the class members. (*Sav-On Drug Stores, supra*, 34 Cal.4th at p. 326.) “Other relevant considerations include the probability that each class member will come forward ultimately to prove his or her separate claim to a portion of the total recovery and whether the class approach would actually serve to deter and redress alleged wrongdoing.” (*Linder v. Thrifty Oil Co.* (2000) 23 Cal.4th 429, 435.)

The plaintiff has the burden of establishing that class treatment will yield “substantial benefits” to both “the litigants and to the court.” (*Blue Chip Stamps v. Superior Court* (1976) 18 Cal.3d 381, 385.) The court must examine all the evidence submitted in support of and in opposition to the motion “in light of the plaintiffs’ theory of recovery.” (*Department of Fish and Game v. Superior Court* (2011) 197 Cal.App.4th 1323, 1349.) The evidence is considered “together”: there is no burden-shifting as in other contexts. (*Ibid.*)

B. Numerous and Ascertainable Class

A class is ascertainable “when it is defined in terms of objective characteristics and common transactional facts that make the ultimate identification of class members possible when that identification becomes necessary.” (*Noel v. Thrifty Payless, Inc.* (2019) 7 Cal.5th 955, 980 (*Noel*)). A class definition satisfying these requirements

puts members of the class on notice that their rights may be adjudicated in the proceeding, so they must decide whether to intervene, opt out, or do nothing and live with the consequences. This kind of class definition also advances due process by supplying a concrete basis for determining who will and will not be bound by (or benefit from) any judgment.

(*Noel, supra*, 7 Cal.5th at p. 980, citation omitted.)

“As a rule, a representative plaintiff in a class action need not introduce evidence establishing how notice of the action will be communicated to individual class members in order to show an ascertainable class.” (*Noel, supra*, 7 Cal.5th at p. 984.) Still, it has long been held that “[c]lass members are ‘ascertainable’ where they may be readily identified ... by reference to official records.” (*Rose v. City of Hayward* (1981) 126 Cal. App. 3d 926, 932, disapproved of on another ground by *Noel, supra*, 7 Cal.5th 955; see also *Cohen v. DIRECTV*,

Inc. (2009) 178 Cal.App.4th 966, 975-976 [“The defined class of all HD Package subscribers is precise, with objective characteristics and transactional parameters, and can be determined by DIRECTV’s own account records. No more is needed.”].)

Here, Plaintiff contends that at least 3,746 putative have already been identified from Defendants’ records, thus demonstrating that the class is both numerous and ascertainable. (Memorandum, p. 10:2-22.) Plaintiff further argues that Defendants have implicitly disclosed that there are at least 3,476 class members, demonstrating that joinder of all members of the class is impracticable. (*Ibid.*)

Defendants CKS and Balbec argue that the class and subclass are not ascertainable because they include members irrespective of whether Defendants collected or attempted to collect a consumer debt from them without proof of ownership. (CKS and Balbec Opposition, p. 9:14-28.) Defendants contend there is no differentiation between putative class members who were injured and those who were not because a class member does not need to demonstrate violating conduct to be included in the class. (*Ibid.*) Defendants further argue that the 3,476 figure is taken from a discovery response representing the number of accounts purchased by defendant LendingClub, and that it does not represent the number of people that any Defendant attempted to collect debt from without proof of ownership. (*Id.* at p. 10:1-14.)

“Class certification is properly denied for lack of ascertainability when the proposed definition is overbroad and the plaintiff offers no means by which only those class members who have claims can be identified from those who should not be included in the class. [Citations.]” (*Miller v. Bank of America, N.A.* (2013) 213 Cal.App.4th 1, 8 (*Miller*).) In *Miller*, “the trial court properly denied class certification because Miller failed to define an identifiable class of bank customers whose accounts were debited *unlawfully*.” (*Ibid.*, italics original.) Defendants CKS and Balbec contend *Miller* is directly on point because Plaintiff’s class definitions here are not necessarily limited to people affected by Defendants’ collections or attempted collections that were in violation of the CFDBPA or RFDCPA. (*Id.* at p. 11:1-11.)

In reply, Plaintiff argues that Defendants’ reliance on *Miller* is misguided because the facts are distinguishable. (Reply, p. 9:15-16.) Plaintiff asserts that the illegality of the bank’s collection activities in *Miller* could not be determined without individualized inquiries as to

each account holder. (*Id.* at p. 9:16-17.) Plaintiff contends that the facts here are distinguishable because she alleges that Defendants bought specific consumer accounts from a specific originator and did not receive the electronic promissory note evidence those debts. (*Id.* at p. 9:18-20.) Plaintiff argues that, according to the SAC's allegations, every consumer in the identified portfolio of accounts was subjected to the Defendants' unlawful collection activity. (*Id.* at pp. 8:10-15, 9:20-25.)

Here, the court is not persuaded that Plaintiff has identified a significant distinction between the facts here and those in *Miller*. Plaintiff asserts that the gravamen of the class claims is that none of the electronic promissory notes evidencing the alleged debts of the class members were ever transferred to Defendants. While this allegation may be asserted in the SAC, it is not encompassed by the proposed class definitions. Because the class definitions make no reference to unlawful conduct, they "offer no means by which only those class members who have claims can be identified from those who should not be included in the class." (*Miller, supra*, 213 Cal.App. at p. 7.) In sum, Plaintiff offers no authority in support of her theory that allegations regarding the Defendants' business model, not encompassed by a class definition, can be sufficient to limit the scope of a class definition that would otherwise be overbroad.

For the forgoing reasons, the court finds that Plaintiff has not met her burden under Code of Civil Procedure section 382 with respect to establishing an ascertainable class. In the interest of efficiency, the court will address the remaining factors.

C. Community of Interest

The "community-of-interest" requirement encompasses three factors: (1) predominant questions of law or fact; (2) class representatives with claims or defenses typical of the class; and (3) class representatives who can adequately represent the class. (*Sav-On Drug Stores, supra*, 34 Cal.4th at p. 326.) Defendants contend that none of the factors are satisfied here.

1. Predominant Questions of Law or Fact

For the first community of interest factor, “[i]n order to determine whether common questions of fact predominate the trial court must examine the issues framed by the pleadings and the law applicable to the causes of action alleged.” (*Hicks v. Kaufman & Broad Home Corp.* (2001) 89 Cal.App.4th 908, 916 (*Hicks*)). The court must also give due weight to any evidence of a conflict of interest among the proposed class members. (See *J.P. Morgan & Co., Inc. v. Superior Court* (2003) 113 Cal.App.4th 195, 215.) The ultimate question is whether the issues which may be jointly tried, when compared with those requiring separate adjudication, are so numerous or substantial that the maintenance of a class action would be advantageous to the judicial process and to the litigants. (*Lockheed Martin Corp. v. Superior Court* (2003) 29 Cal.4th 1096, 1104–1105 (*Lockheed Martin*)). “As a general rule if the defendant’s liability can be determined by facts common to all members of the class, a class will be certified even if the members must individually prove their damages.” (*Hicks, supra*, 89 Cal.App.4th at p. 916.) However, our Supreme Court has “cautioned that class treatment is not appropriate if every member of the alleged class would be required to litigate numerous and substantial questions determining his individual right to recover following the ‘class judgment’ on common issues.” (*Wilson v. The La Jolla Group* (2021) 61 Cal.App.5th 897, 908, internal citations and quotation marks omitted.)

Plaintiff contends that common issues predominate here because the putative class is united by common issues of fact and law arising from Defendants’ collection practices that violate the CFDBPA and RFDCPA. (Memorandum, pp. 11:12-12:16.) Plaintiff contends the proof of the class members’ claims will turn on issues regarding Defendants’ collection attempts, conduct, and practices with respect to class members, and not on the circumstances or characteristics of individual members. Plaintiff argues that Defendants’ collection practices are unlawful in the same way as to each putative class member. Plaintiff also identifies the following as common issues of law: (1) whether Defendants are debt buyers and/or debt collectors; (2) whether Defendants collect defaulted, charged-off consumer debts without possession or control of the electronic promissory notes evidencing the debt being collected, as required by California Civil Code section 1788.13, subd. (l) and 1788.52, subd. (b); and (3) whether Defendants attempted to collect defaulted, charged-off consumer debts without

actual ownership of the debt being collected, as required by California Civil Code section 1788.13, subd. (l) and 1788.52, subd. (b).

Defendants CKS and Balbec contend that none of the issues identified by Plaintiff are common to each member of the class, and none results in common answers throughout the class. (CKS and Balbec Opposition, p. 12:5-14:8.) First, Defendants argue that Plaintiff brings her claims against numerous Defendants without differentiating between them in her class definitions. Defendants point out that the proposed classes include people from whom any of the Defendants collected or attempted to collect a debt. Thus, a putative class member might only have a relationship with one Defendant and would still be encompassed by the definition even if each other Defendant was a debt collector or buyer or did anything to violate the laws at issue. Therefore, Defendants CKS and Balbec contend that whether all Defendants are debt buyers or collectors is not a common issue for all class members.

Next, Defendants CKS and Balbec contend that each putative class member will be required to prove that Defendants did not have sufficient access to a document establishing the class member's agreement to their debt. Civil Code section 1788.52, subd. (b), provides:

A debt buyer shall not make any written statement to a debtor in an attempt to collect a consumer debt unless the debt buyer has access to a copy of a contract or other document evidencing the debtor's agreement to the debt. If the claim is based on debt for which no signed contract or agreement exists, the debt buyer shall have access to a copy of a document provided to the debtor while the account was active, demonstrating that the debt was incurred by the debtor. For a revolving credit account, the most recent monthly statement recording a purchase transaction, last payment, or balance transfer shall be deemed sufficient to satisfy this requirement.

Defendants point out that a debtor seeking to enforce liability under the subdivision must establish what kind of debt is at issue. The answer to this question will determine what kind of "contract or other document evidencing the debtor's agreement to the debt" is required to avoid liability under this section. Defendants argue that, assuming that all the alleged debts were obtained through a signed form contract, each class member will have to prove that Defendants did not have access to that contract or other document evidencing the debtor's agreement to the debt. Defendants assert that even if this requirement were included in the class definitions, it would still require individualized inquiry into each class member's specific debt and the corresponding documents that were available to Defendant with regard that specific debt.

Defendants CKS and Balbec emphasize that it was only through Plaintiff's own individualized inquiry that she became aware that Defendants were allegedly collecting on her debt without possession or control of the electronic promissory note. Defendants argue that Plaintiff has not presented evidence that the entire class was subjected to the same collection efforts by the same Defendants with the same access to the same document evidencing agreement to the debt for each class member. Defendants contend individual inquiries predominate over class issues, rendering the class claims unmanageable. Defendants rely on *Duran v. U.S. Bank National Assn.* (2014) 59 Cal.4th 1, 30 (*Duran*) for the proposition that, "[o]nly in an extraordinary situation would a class action be justified, where, subsequent to the class judgment, the members would be required to individually prove not only damages but also liability."

Similarly, Defendants C&B and NRA contend that "resolution of the 'possession or control' or 'access to' issue is unique to each class member and it is the issue that is critical to the viability of the class claims." (C&B and NRA Opposition, pp. 4:27-5:1.) They further contend that consideration of the merits is appropriate at the class certification stage in this case because resolution of the whether Defendants had possession or control or access to the requisite documentation is enmeshed with the class claims and must be resolved on an individual basis. (*Id.* at p. 5:4-24.)

Notably, Plaintiff's reply is silent in response to Defendants' above arguments regarding predominance, despite offering robust arguments responding to other issues raised by Defendants. The court finds Defendants' arguments regarding the predominance of individualized inquiries and the unmanageability the class claims to be persuasive, particularly considering the lack of a trial management plan. "[C]lass treatment is not appropriate if every member of the alleged class would be required to litigate numerous and substantial questions determining his individual right to recover following the class judgment on common issues. [Citations.]" (*Duran, supra*, 59 Cal.4th at p. 28; see also *Reyes v. Board of Supervisors* (1987) 1986 Cal.App.3d 1263, 1275 [the questions of ascertainability and manageability may be intertwined; when the unmanageability of a class action is essentially without dispute, it may

foreclose class certification].) Therefore, the court finds that Plaintiff has not met her burden with respect to establishing the predominance of common questions of law or fact.

2. Adequacy and Typicality

“Adequacy of representation depends on whether the plaintiff’s attorney is qualified to conduct the proposed litigation and the plaintiff’s interests are not antagonistic to the interests of the class.” (*McGhee v. Bank of America* (1976) 60 Cal.App.3d 442, 450.) The fact that a class representative does not personally incur all the damages suffered by each different class member does not necessarily preclude the representative from providing adequate representation to the class. (*Wershba v. Apple Computer, Inc.* (2001) 91 Cal.App.4th 224, 238, disapproved of on another ground by *Hernandez v. Restoration Hardware, Inc.* (2018) 4 Cal.5th 260.) Only a conflict that goes to the very subject matter of the litigation will defeat a party’s claim of representative status. (*Ibid.*)

“Although the questions whether a plaintiff has claims typical of the class and will be able to adequately represent the class members are related, they are not synonymous.” (*Martinez v. Joe’s Crab Shack Holdings* (2014) 231 Cal.App.4th 362, 375 (*Martinez*)). “The test of typicality is whether other members have the same or similar injury, whether the action is based on conduct which is not unique to the named plaintiffs, and whether other class members have been injured by the same course of conduct.” (*Ibid.*, quoting *Seastrom v. Neways, Inc.* (2007) 149 Cal.App.4th 1496, 1502.)

Here, Plaintiff contends that her claims are typical because Defendants directed the same collection campaign against her and all the other members of the putative class. (Memorandum, pp. 12:18-13:15.) She argues that the only difference between the collection against her and against the rest of the putative class is the consumer’s personal identification information and the amount of debt owed, which are not elements of the causes of action. Plaintiff further contends that the class claims rest almost exclusively on Defendants’ standard business practices that violate the CFDBPA and the RFDCPA.

Defendants CKS and Balbec contend that Plaintiff has not demonstrated typicality because the proposed class and subclass do not require a showing of any conduct implicating

any statute to be included as a class member. (CKS and Balbec Opposition, pp. 14:9-15:23.) Defendants further contend that Plaintiff's claims are not typical because she sought verification of her debt from Defendants and there is no mention of such verification in the proposed classes. In reply, Plaintiff persuasively argues that her verification of her own debt does not render her claims atypical because her individual claims based on the failure to provide adequate verification are in addition to the asserted class claim. Defendants' remaining arguments are directed less toward the typicality of Plaintiff's claims and toward the ascertainability and predominance questions, already addressed. The court finds that Plaintiff has sufficiently established typicality because her claims and those of the putative class are based on the "same common course of conduct." (*Martinez, supra*, 231 Cal.App.4th at p. 375.)

Plaintiff further contends that she and her counsel will fairly and adequately represent the class. (Memorandum, pp. 13:16-14:13.) Plaintiff asserts that her counsel is qualified to conduct the pending litigation and that her interests are not antagonistic to the class. Plaintiff's attorneys provide declarations persuasively demonstrating their experience in prosecuting consumer class action litigation.

In opposition, Defendants CKS and Balbec argue that Plaintiff cannot adequately represent the class, based primarily on isolated excerpts from her deposition testimony. (CKS and Balbec Opposition, pp. 15:24-17:17.) The court finds little merit to this line of argument. Plaintiff persuasively argues in reply that Defendants' attacks on her adequacy rely upon cherry-picked quotes from her deposition and unfairly hold her to the standard of a trained legal professional. (Reply, pp. 1:22-8:5.) The supplemental deposition testimony provided by Plaintiff gives context to her answers and demonstrates that she understands her responsibilities as a class representative. Accordingly, the court finds that the issues of typicality and adequacy do not foreclose Plaintiff's certification motion.

D. Superiority

"[A] class action should not be certified unless substantial benefits accrue both to litigants and the courts. . . ." (*Basurco v. 21st Century Ins.* (2003) 108 Cal.App.4th 110, 120, internal quotation marks omitted.) The question is whether a class action would be superior to

individual lawsuits. (*Ibid.*) “Thus, even if questions of law or fact predominate, the lack of superiority provides an alternative ground to deny class certification.” (*Ibid.*) Generally, “a class action is proper where it provides small claimants with a method of obtaining redress and when numerous parties suffer injury of insufficient size to warrant individual action.” (*Id.* at pp. 120–121, internal quotation marks omitted.)

Here, Plaintiff argues that a class action is superior because individual litigation of the class members’ claims would be impracticable and unduly burdensome to the courts and could lead to inconsistent or contradictory judgments. (Memorandum, pp. 14:14-16:20.) Plaintiff further contends that class members and the Defendants share a common interest in minimizing the costs of litigation. Nevertheless, as discussed above, the court is not persuaded that common questions of law or fact predominate. Accordingly, the court likewise finds that Plaintiff has not met her burden of establishing that a class action is the superior method for adjudication of this lawsuit.

Plaintiff has requested that any denial of the motion be without prejudice so that she may obtain additional discovery. Accordingly, the court DENIES the motion for class certification without prejudice.

IV. Conclusion

The motion for class certification is DENIED without prejudice.

The prevailing party shall prepare the order in accordance with California Rules of Court, rule 3.1312.

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Calendar Line 3

Case Name: Ngo v. Intuitive Surgical, Inc., et al. (Class Action)
Case No.: 22CV397297

The above-entitled action comes on for hearing before the Honorable Theodore C. Zayner on April 9, 2025, at 1:30 p.m. in Department 19. The court now issues its tentative ruling as follows:

I. Introduction

This is a putative class and representative action arising from alleged wage and hour violations. On April 25, 2022, plaintiff Vinh Ngo (“Plaintiff”) began this action by filing a class action complaint against defendants Intuitive Surgical, Inc., Intuitive Surgical Operations, Inc., and Ian Martin, Inc.

On July 11, 2022, Plaintiff filed the operative first amended class action complaint (“FAC”), asserting the following causes of action: (1) Failure to Pay Minimum Wages; (2) Failure to Pay Overtime Wages; (3) Failure to Provide Meal Periods; (4) Failure to Permit Rest Breaks; (5) Failure to Provide Accurate Itemized Wage Statements; (6) Failure to Pay Wages Timely During Employment; (7) Failure to Pay Wages Due Upon Separation of Employment; (8) Violation of Business and Professions Code §§ 17200, et seq.; and (9) Enforcement of Labor Code §§ 2698, et seq. (“PAGA”).

On December 20, 2022, Defendant Ian Martin PBC dba Raise Recruiting (erroneously sued as Ian Martin, Inc.) (“Ian Martin”) filed a motion for an order compelling Plaintiff to arbitrate his individual claims, dismissing his class claims and representative PAGA claim, and staying any claims not dismissed pending resolution of the individual arbitration. Defendants Intuitive Surgical, Inc. and Intuitive Surgical Operations, Inc. filed notice of joinder of Ian Martin’s motion. On April 11, 2023, the court issued an order granting the request for dismissal of Individual and Class Action Claims Without Prejudice. Consequently, only Plaintiff’s PAGA claim remained pending. On June 15, 2023, the court issued an order denying the motion to compel arbitration, finding that the entirety of Plaintiff’s PAGA claims is expressly excluded from the parties’ arbitration agreement.

The parties have reached a settlement as to Plaintiff's PAGA claims, and Plaintiff now moves for approval of the settlement. The motion is unopposed.

II. Legal Standard for PAGA Settlement Approval

Labor Code section 2699, subdivision (l)(2) provides that "[t]he superior court shall review and approve any settlement of any civil action filed pursuant to" PAGA. The court's review "ensur[es] that any negotiated resolution is fair to those affected." (*Williams v. Superior Court* (2017) 3 Cal.5th 531, 549.) Seventy-five percent of any penalties recovered under PAGA go to the Labor and Workforce Development Agency (LWDA), leaving the remaining twenty-five percent for the aggrieved employees. (*Iskanian v. CLS Transportation Los Angeles, LLC* (2014) 59 Cal.4th 348, 380, overruled on other grounds by *Viking River Cruises, Inc. v. Moriana* (2022) 596 U.S. 639.)

Like its review of class action settlements, the Court must "determine independently whether a PAGA settlement is fair and reasonable," to protect "the interests of the public and the LWDA in the enforcement of state labor laws." (*Moniz v. Adecco USA, Inc.* (2021) 72 Cal.App.5th 56, 76-77.) It must make this assessment "in view of PAGA's purposes to remediate present labor law violations, deter future ones, and to maximize enforcement of state labor laws." (*Id.* at p. 77; see also *Haralson v. U.S. Aviation Servs. Corp.* (N.D. Cal. 2019) 383 F. Supp. 3d 959, 971 ["when a PAGA claim is settled, the relief provided for under the PAGA [should] be genuine and meaningful, consistent with the underlying purpose of the statute to benefit the public"], quoting LWDA guidance discussed in *O'Connor v. Uber Technologies, Inc.* (N.D. Cal. 2016) 201 F.Supp.3d 1110 (*O'Connor*).)

The settlement must be reasonable considering the potential verdict value. (See *O'Connor, supra*, 201 F.Supp.3d at p. 1135 [rejecting settlement of less than one percent of the potential verdict].) But a permissible settlement may be substantially discounted, given that courts often exercise their discretion to award PAGA penalties below the statutory maximum even where a claim succeeds at trial. (See *Viceral v. Mistras Group, Inc.* (N.D. Cal., Oct. 11, 2016, No. 15-cv-02198-EMC) 2016 WL 5907869, 2016 U.S. Dist. LEXIS 140759, at *20-24.)

III. Discussion

A. Provisions of the Settlement

Plaintiff moves for approval of a settlement made on behalf of Aggrieved Employees, defined individually as:

[A] California citizen assigned to work at Intuitive by Raise and classified as a non-exempt employee at any time during the PAGA Period [from May 7, 2021 through September 8, 2024].

(Declaration of Kristy R. Connolly (“Connolly Dec.”), Ex. 1 (“Agreement”), §§ 1.4, 1.21.)

Defendants will pay a gross settlement amount of \$249,000.³ (Agreement, § 3.1.) This amount includes attorney fees in the amount of \$83,000.00 (one-third of the gross settlement amount), litigation costs not to exceed \$20,000, a service award to Plaintiff of up to \$10,000, settlement administration costs of \$3,750. (*Id.* §§ 3.2.1-3.2.3.) The parties have agreed upon Phoenix Settlement Administrators (“Phoenix”) as the entity that will administer the settlement, and the court approves Phoenix as the settlement administrator. (*Id.* at § 3.2.3.) Of the remaining net settlement amount, 75 percent will be paid to the LWDA and 25 percent will be distributed to aggrieved employees based on the pro rata number of pay periods worked during the PAGA Period. (*Id.* at § 3.2.4.) Funds from checks that are not cashed within 180 days from the date of mailing will be sent to the Controller of the State of California to be held pursuant to the Unclaimed Property Law. (*Id.* at § 4.4.3.)

In exchange for the settlement, the aggrieved employees agree to release the Defendants and related people and entities from “all claims for PAGA penalties that were alleged, or reasonably could have been alleged, based on the facts stated in the Operative Complaint and the PAGA Notice, arising during the PAGA Period, including claims for (1) Failure to Pay Minimum Wages, (2) Failure to Pay Overtime Wages, (3) Failure to Provide Meal Periods, (4) Failure to Provide Rest Periods, (5) Failure to Provide Accurate Wage Statements, (6) Failure to Timely Pay All Wages During Employment and Due at Termination, and (7) Failure to Maintain Accurate and Complete Records.” (Agreement, §§ 1.26, 5.2) The

³ The Agreement defines “Defendants” as Intuitive Surgical, Inc., Intuitive Surgical Operations, Inc. (collectively, “Intuitive”), and Raise Group Public Benefit Corporation f/k/a Ian Martin, Inc. (“Raise”), “the defendants named in the action.” (Agreement, introduction and § 1.9.)

release provisions are appropriately tailored to the factual allegations of the operative pleading. (See *Amaro v. Anaheim Arena Management, LLC* (2021) 69 Cal.App.5th 521, 538.)

B. Fairness of the Settlement

Plaintiff contends that the PAGA settlement is fair and reasonable. (Memorandum, pp. 6:22-9:6.) Plaintiff's counsel explains that the parties attended private mediation on July 10, 2024. (Connolly, ¶¶ 7-8.) Prior to mediation, Defendants informally produced data and documents necessary to calculate Defendants' alleged exposure, and the parties eventually finalized the settlement in September 2024. (*Ibid.*)

Plaintiff's counsel provides an analysis of Defendants' exposure, based on a group of approximately 230 employees over 4,130 pay periods. (*Id.* at ¶¶ 10-12.) Counsel calculated the potential exposure at the initial violation rate of \$100 per period, yielding \$413,000. (*Id.* at ¶ 12.) If the court were to stack different types of penalties for rest break violations, unpaid overtime, failure to pay wages on a weekly basis, and for wage statement penalties, Defendants' total estimated exposure comes to \$1,445,500. Defendants raised several arguments that could have defeated Plaintiff's claims, including its written policies authorizing duty-free rest breaks, an exemption applicable to wages paid to temporary employees who work for over 90 days for a client, and the ruling in *Naranjo v. Spectrum Security Services, Inc.* (2024) 5 Cal.5th 1056 that affects the amount of derivative wage statement penalties available when the employer acts in the good faith. (*Id.* at ¶ 13.)

The gross settlement amount of \$249,000 represents approximately 17.2 percent of Defendants' estimated maximum exposure. This recovery is within the general range of percentage recoveries that California courts have found to be reasonable. (See *Cavazos v. Salas Concrete, Inc.* (E.D. Cal., Feb 18, 2022, No. 1:19-cv-00062-DAD-EPG) 2022 U.S. Dist. LEXIS 30201, at *41-42 [citing cases indicating that a general range of 5 to 35 percent of the maximum potential exposure is reasonable].)

The court has reviewed Plaintiff's written submissions in support of the proposed settlement. Based on the circumstances of the case, including the strength of Plaintiff's case and potential defenses, the court finds the terms of the settlement to be fair. The settlement

provides for some recovery for each class member and eliminates the risk and expense of further litigation.

C. Incentive Award, Fees and Costs

As part of the settlement, Plaintiff seeks a service award in the amount of \$10,000. Although service awards are common in class actions, there is less authority regarding the propriety of service awards in PAGA cases. Nevertheless, a PAGA case is a representative action like a class action, and courts have recognized that an individual's willingness to act as a private attorney general may merit a service award. (See *Rodriguez v. West Publishing Corp.* (9th Cir. 2009) 563 F.3d 948, 959.)

Plaintiff has submitted a declaration detailing his participation in the action. He states that he spent approximately 45 hours on this case, including discussing the case with counsel, reviewing the complaint, gathering facts and documents for counsel, assisting in responding to written discovery, and providing information related to working conditions and Defendants' operations. (Declaration of Vinh Ngo, ¶¶ 4-13.) The court finds that a service award is appropriate and that the amount requested is reasonable. Therefore, the court approves the service award in the requested amount.

Plaintiff's counsel seeks attorney fees of \$83,000 (one-third of the maximum settlement amount). (Memorandum, p. 5:6; Agreement, § 3.2.2.) Counsel represents that her firm bills attorneys' time at rates ranging from \$600-\$950 per hour. However, neither Plaintiff's supporting memorandum nor Ms. Connolly's supporting declaration appear to include any information regarding the estimated lodestar incurred in reaching this settlement. Accordingly, the motion will be CONTINUED, and prior to the continued hearing, Plaintiff's counsel shall provide a supplemental declaration including a breakdown of the billing for this case, including time spent and hourly rates.

Plaintiff's counsel also requests litigation costs in the total amount of \$8,922.20 and provides evidence of incurred costs in that amount. (Connolley Decl., ¶¶ 29 and 33, Ex. 4.) This is well under the \$20,000 maximum for costs as set by the Agreement. Therefore, the

court finds the amount to be reasonable and approves the reimbursement of costs in the amount requested.

Plaintiff also asks for settlement administration costs in the amount of \$3,750. (Memorandum, p. 5:8-10; Agreement, § 3.2.3.) However, Plaintiff has not provided a declaration or other documentation from Phoenix, the proposed settlement administrator, verifying the settlement administration costs. Accordingly, prior to the continued hearing, Plaintiff's counsel shall provide a quote and/or declaration from the settlement administrator verifying the settlement administration costs.

IV. Conclusion

Accordingly, the motion for approval of PAGA settlement is CONTINUED to May 14, 2025 at 1:30 p.m. in Department 19. At least 10 court days prior to the continued hearing, Plaintiff's counsel shall provide a supplemental declaration indicating the lodestar information for this case (including hours billed and hourly rates), as well as documentation supporting the requested settlement administration costs.

Plaintiff shall prepare the order in accordance with California Rules of Court, rule 3.1312.

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Calendar Line 4

Case Name: Olivo v. Khanna Enterprises General Partner, et al. (Class Action)
Case No.: 22CV409085

The above-entitled action comes on for hearing before the Honorable Theodore C. Zayner on April 9, 2025, at 1:30 p.m. in Department 19. The court now issues its tentative ruling as follows:

I. Introduction

This is a putative class and representative action arising from alleged wage and hour violations. On December 27, 2022, plaintiff Andres Cedeno Olivo (“Plaintiff”) began this action by filing a class action complaint against defendants Khanna Enterprises II, Limited Partnership, Khanna Enterprises IV Limited Partnership, Khanna Enterprises VI, LP, and Khanna Enterprises, Limited (collectively, “Defendants”). On April 3, 2023, Plaintiff filed the operative first amended class action complaint, asserting various causes of action based on Labor Code violations, including a cause of action for civil penalties pursuant to the Private Attorneys General Act (“PAGA”).

On July 20, 2023, the court issued an order on the parties’ stipulation to dismiss Plaintiff’s class claims and submit Plaintiff’s individual PAGA claims to arbitration, pursuant to an arbitration agreement executed by Plaintiff prior to his employment. The order also stayed Plaintiff’s non-individual PAGA claims pending the outcome of the California Supreme Court’s decision in *Adolph v. Uber Technologies* (2023) 14 Cal.5th 1104.

The parties have reached a settlement, and Plaintiff now moves for preliminary approval of the settlement. The motion is unopposed.

II. Legal Standard for PAGA Settlement Approval

Labor Code section 2699, subdivision (1)(2) provides that “[t]he superior court shall review and approve any settlement of any civil action filed pursuant to” PAGA. The court’s review “ensur[es] that any negotiated resolution is fair to those affected.” (*Williams v. Superior Court* (2017) 3 Cal.5th 531, 549.) Seventy-five percent of any penalties recovered under PAGA

go to the Labor and Workforce Development Agency (LWDA), leaving the remaining twenty-five percent for the aggrieved employees. (*Iskanian v. CLS Transportation Los Angeles, LLC* (2014) 59 Cal.4th 348, 380, overruled on other grounds by *Viking River Cruises, Inc. v. Moriana* (2022) 596 U.S. 639.)

Like its review of class action settlements, the Court must “determine independently whether a PAGA settlement is fair and reasonable,” to protect “the interests of the public and the LWDA in the enforcement of state labor laws.” (*Moniz v. Adecco USA, Inc.* (2021) 72 Cal.App.5th 56, 76-77.) It must make this assessment “in view of PAGA’s purposes to remediate present labor law violations, deter future ones, and to maximize enforcement of state labor laws.” (*Id.* at p. 77; see also *Haralson v. U.S. Aviation Servs. Corp.* (N.D. Cal. 2019) 383 F. Supp. 3d 959, 971 [“when a PAGA claim is settled, the relief provided for under the PAGA [should] be genuine and meaningful, consistent with the underlying purpose of the statute to benefit the public”], quoting LWDA guidance discussed in *O’Connor v. Uber Technologies, Inc.* (N.D. Cal. 2016) 201 F.Supp.3d 1110 (*O’Connor*).)

The settlement must be reasonable considering the potential verdict value. (See *O’Connor, supra*, 201 F.Supp.3d at p. 1135 [rejecting settlement of less than one percent of the potential verdict].) But a permissible settlement may be substantially discounted, given that courts often exercise their discretion to award PAGA penalties below the statutory maximum even where a claim succeeds at trial. (See *Viceral v. Mistras Group, Inc.* (N.D. Cal., Oct. 11, 2016, No. 15-cv-02198-EMC) 2016 WL 5907869, 2016 U.S. Dist. LEXIS 140759, at *20-24.)

III. Discussion

A. Provisions of the Settlement

Plaintiff moves for approval of a settlement made on behalf of group of “Aggrieved Employees,” defined as follows:

[A]ll individuals employed by Defendants as non-exempt employees in California at any time during the period from January 27, 2022 through the earlier of: (a) November 6, 2024 or (b) the date of entry of the Order and Judgment.

(Declaration of Raul Perez (“Perez Decl.”), Ex. 1 (“Agreement”), ¶ 2.)

Defendants will pay a non-reversionary gross settlement amount of \$550,000. (Agreement, ¶ 4.) This amount includes attorney fees of up to \$183,333, litigation costs not to exceed \$25,000, a service award to Plaintiff of \$10,000, and settlement administration expenses of up to \$6,250. (*Id.* at ¶¶ 15-18.) The parties will retain ILYM Group, Inc. as the entity to responsible for administering the settlement. (*Id.* at ¶ 18.) The court approves and appoints ILYM Group, Inc. as the settlement administrator. Of the remaining net settlement amount, 75 percent will be paid to the LWDA and 25 percent will be distributed to aggrieved employees based on the pro rata number of pay periods worked during the PAGA Period. (*Id.* at ¶ 14.) Funds from checks that are not cashed within 180 days from the date of mailing will be sent to The Justice Gap Fund maintained by The State Bar of California. (*Id.* at ¶ 22.)

In exchange for the settlement, the aggrieved employees agree to release the Defendants and entities from “any and all claims for PAGA civil penalties under the California Labor Code, Wage Orders, regulations, and/or other provisions of law alleged or could have been alleged to have been violated in the Action with respect to Aggrieved Employees based on the facts alleged in the Action during the Settlement Period.” (Agreement, ¶¶ 9, 23) The release provisions are appropriately tailored to the factual allegations of the operative pleading. (See *Amaro v. Anaheim Arena Management, LLC* (2021) 69 Cal.App.5th 521, 538.)

B. Fairness of the Settlement

Plaintiff contends that the parties negotiated a fair and reasonable settlement. (Memorandum, pp. 8:1-11:28.) Plaintiff’s counsel explains that the settlement is the product of the parties’ participation in mediation with Marc Feder, esq., following the exchange of informal discovery. (Perez Decl., ¶¶ 4-6.) Prior to mediation, Defendants produced employee demographic data, a sample of Aggrieved Employees’ time and pay records, and Defendants’ labor policies and procedures. (*Id.* at ¶ 9.) Plaintiff’s counsel performed a thorough investigation into the claims at issue and asserts that the settlement represents a fair and reasonable compromise of Plaintiff’s claims balanced against the risks of continued litigation and the defenses asserted by Defendants. (*Id.* at ¶¶ 10-11.)

Plaintiff's counsel provides an analysis of Defendants' exposure based on a total of approximately 850 aggrieved employees and 22,000 applicable pay periods during the settlement period. (Perez Decl., ¶¶ 12-44.) According to this analysis, Defendants' estimated total maximum exposure is approximately \$13,247,500, and Defendants' estimated total realistic exposure is \$2,094,750. (*Id.* at ¶ 44.) Plaintiff's counsel provides of breakdown of these amounts by claim and addresses the associated risks and defenses.

The gross settlement amount of \$550,000 represents approximately 4.1 percent of Defendants' estimated maximum exposure. Based on the estimated maximum exposure and the general range of percentage recoveries that California courts have found to be reasonable, the gross settlement amount is somewhat low. (See *Cavazos v. Salas Concrete, Inc.* (E.D. Cal., Feb 18, 2022, No. 1:19-cv-00062-DAD-EPG) 2022 U.S.Dist. LEXIS 30201, at *41-42 [citing cases indicating that a general range of 5 to 35 percent of the maximum potential exposure is reasonable].) Nevertheless, Plaintiff's counsel sufficiently explains the rationale for the settlement amount, particularly considering the available defenses and the facts that courts have wide discretion to reduce PAGA penalty amount. The settlement amount represents a substantial 26.3 percent of Defendants' estimated realistic exposure.

The court has reviewed Plaintiff's written submissions in support of the proposed settlement. Based on the circumstances of the case, including the strength of Plaintiff's case and potential defenses, the court finds the terms of the settlement to be fair. The settlement provides for some recovery for each class member and eliminates the risk and expense of further litigation.

C. Incentive Award, Fees and Costs

As part of the settlement, Plaintiff seeks a service award in the amount of \$10,000. Although service awards are common in class actions, there is less authority regarding the propriety of service awards in PAGA cases. Nevertheless, a PAGA case is a representative action like a class action, and courts have recognized that an individual's willingness to act as a private attorney general may merit a service award. (See *Rodriguez v. West Publishing Corp.* (9th Cir. 2009) 563 F.3d 948, 959.)

Plaintiff has submitted a declaration detailing his participation in the action. He states that he has spent between 25 and 35 hours on this case, including discussing the case with counsel, gathering facts and documents, and carefully reviewing the complaint and proposed settlement. (Declaration of Andres Olivo, ¶¶ 4-12.) In exchange for the service award, Plaintiff also agreed to a general release of all claims arising out of his employment with Defendants. (Agreement, ¶¶ 8, 16.) The court finds that a service award is appropriate and that the amount requested is reasonable under the circumstances. Therefore, the court approves the service award in the requested amount.

Plaintiff's counsel seeks attorney fees of \$183,333 (one-third of the gross settlement amount). (Memorandum, pp. 12:1-17:17; Agreement, ¶ 15.) Counsel submits that Plaintiff has incurred a lodestar of \$149,242.50 in this action, based on a total of 224 hours billed at rates ranging from \$475 per hour to \$950 per hour. (Perez Decl., ¶¶ 58-59.) This results in a multiplier of 1.23, which is within the range of multipliers that courts typically approve. (See *Wershba*, supra, 91 Cal.App.4th at p. 255 ["[m]ultipliers can range from 2 to 4 or even higher"]; *Vizcaino v. Microsoft Corp.* (9th Cir. 2002) 290 F.3d 1043, 1051, fn. 6 [stating that multipliers ranging from one to four are typical in common fund cases].) The benefits achieved by the settlement justify an award of attorney fees to counsel. The court finds that the requested attorney fee award is reasonable as a percentage of the common fund and therefore approves an attorney fee award in the requested amount.

Plaintiff's counsel also requests litigation costs in the total amount of \$11,670.40 and provides a list of costs incurred in that amount. (Perez Decl., ¶ 62.) This is under the \$25,000 maximum for costs as set by the Agreement. Therefore, the court approves the reimbursement of costs in the amount requested. Settlement administration costs up to a maximum of \$6,250 are also approved. (Agreement, ¶ 18.)

IV. Conclusion

The motion for approval of PAGA settlement is GRANTED. The court sets a compliance hearing for December 3, 2025 at 2:30 p.m. in Department 19.

Plaintiff shall prepare the order in accordance with California Rules of Court, rule 3.1312.

Calendar Line 5

Case Name: Becerril v. Watersavers Irrigation, Inc. (Class Action)
Case No.: 23CV410334

The above-entitled action comes on for hearing before the Honorable Theodore C. Zayner on April 9, 2025, at 1:30 p.m. in Department 19. The court now issues its tentative ruling as follows:

I. Introduction

This is a class and representative action arising out of alleged wage and hour violations brought by plaintiffs Isaiah Becerril and Brian Cruz (collectively, “Plaintiffs”) against defendant Watersavers Irrigation, Inc. (“Defendant”). On January 25, 2023, Plaintiff Becerril initiated this action by filing a Class Action Complaint for Damages, setting forth several causes of action under the California Labor Code and one cause of action for violation of California Business & Professions Code, section 17200, *et seq.* (the Unfair Competition Law [“UCL”]). On June 29, 2023, Plaintiff Becerril filed a First Amended Complaint, setting forth a sole cause of action for violation of the UCL.

The operative Second Amended Class Action Complaint (“SAC”), filed on January 1, 2024, adds Mr. Cruz as a Plaintiff and sets forth the following causes of action: (1) Violation of California Labor Code, §§ 510 and 1198 (Unpaid Overtime); (2) Violation of California Labor Code, §§ 226.7 and 512, subd. (a) (Unpaid Meal Period Premiums); (3) Violation of California Labor Code, § 226.7 (Unpaid Rest Period Premiums); (4) Violation of California Labor Code, §§ 1194 and 1197 (Unpaid Minimum Wages); (5) Violation of California Labor Code, §§ 201 and 202 (Final Wages Not Timely Paid); (6) Violation of California Labor Code, § 226, subd. (a) (Non-Complaint Wage Statements); (7) Violation of California Labor Code, §§ 2800 and 2802 (Unreimbursed Business Expenses); (8) Violation of California Labor Code, § 2698, *et seq.* (Private Attorneys General Act of 2004); (9) Violation of California Business & Professions Code, § 17200, *et seq.*

The parties have reached a settlement. On August 8, 2024, the court issued an order granting Plaintiffs' motion for preliminary approval of the settlement and setting a final approval hearing for April 9, 2025.

Now before the court is Plaintiffs' motion for final approval of the settlement. The motion is unopposed.

II. Legal Standard

A. Class Action

Generally, "questions whether a [class action] settlement was fair and reasonable, whether notice to the class was adequate, whether certification of the class was proper, and whether the attorney fee award was proper are matters addressed to the trial court's broad discretion." (*Wershba v. Apple Computer, Inc.* (2001) 91 Cal.App.4th 224, 234-235 (*Wershba*), disapproved of on other grounds by *Hernandez v. Restoration Hardware, Inc.* (2018) 4 Cal.5th 260.)

In determining whether a class settlement is fair, adequate and reasonable, the trial court should consider relevant factors, such as the strength of plaintiffs' case, the risk, expense, complexity and likely duration of further litigation, the risk of maintaining class action status through trial, the amount offered in settlement, the extent of discovery completed and the stage of the proceedings, the experience and views of counsel, the presence of a governmental participant, and the reaction of the class members to the proposed settlement.

(*Wershba, supra*, 91 Cal.App.4th at pp. 244-245, internal citations and quotations omitted.)

In general, the most important factor is the strength of the plaintiffs' case on the merits, balanced against the amount offered in settlement. (See *Kullar v. Foot Locker Retail, Inc.* (2008) 168 Cal.App.4th 116, 130 (*Kullar*).) But the trial court is free to engage in a balancing and weighing of factors depending on the circumstances of each case. (*Wershba, supra*, 91 Cal.App.4th at p. 245.) The trial court must examine the "proposed settlement agreement to the extent necessary to reach a reasoned judgment that the agreement is not the product of fraud or overreaching by, or collusion between, the negotiating parties, and that the settlement, taken as a whole, is fair, reasonable and adequate to all concerned." (*Ibid.*, citation and internal quotation marks omitted.)

The burden is on the proponent of the settlement to show that it is fair and reasonable. However “a presumption of fairness exists where: (1) the settlement is reached through arm’s-length bargaining; (2) investigation and discovery are sufficient to allow counsel and the court to act intelligently; (3) counsel is experienced in similar litigation; and (4) the percentage of objectors is small.”

(*Wershba*, *supra*, 91 Cal.App.4th at p. 245, citation omitted.)

B. PAGA

Labor Code section 2699, subdivision (s)(2) provides that “[t]he superior court shall review and approve any settlement of any civil action filed pursuant to” PAGA. The court’s review “ensur[es] that any negotiated resolution is fair to those affected.” (*Williams v. Superior Court* (2017) 3 Cal.5th 531, 549.) Seventy-five percent of any penalties recovered under PAGA go to the Labor and Workforce Development Agency (LWDA), leaving the remaining twenty-five percent for the aggrieved employees. (*Iskanian v. CLS Transportation Los Angeles, LLC* (2014) 59 Cal.4th 348, 380, overruled on other grounds by *Viking River Cruises, Inc. v. Moriana* (2022) 596 U.S. 639.)

Like its review of class action settlements, the Court must “determine independently whether a PAGA settlement is fair and reasonable,” to protect “the interests of the public and the LWDA in the enforcement of state labor laws.” (*Moniz v. Adecco USA, Inc.* (2021) 72 Cal.App.5th 56, 76-77.) It must make this assessment “in view of PAGA’s purposes to remediate present labor law violations, deter future ones, and to maximize enforcement of state labor laws.” (*Id.* at p. 77; see also *Haralson v. U.S. Aviation Servs. Corp.* (N.D. Cal. 2019) 383 F. Supp. 3d 959, 971 [“when a PAGA claim is settled, the relief provided for under the PAGA [should] be genuine and meaningful, consistent with the underlying purpose of the statute to benefit the public”], quoting LWDA guidance discussed in *O’Connor v. Uber Technologies, Inc.* (N.D. Cal. 2016) 201 F.Supp.3d 1110 (*O’Connor*).)

The settlement must be reasonable considering the potential verdict value. (See *O’Connor*, *supra*, 201 F.Supp.3d at p. 1135 [rejecting settlement of less than one percent of the potential verdict].) But a permissible settlement may be substantially discounted, given that courts often exercise their discretion to award PAGA penalties below the statutory maximum

even where a claim succeeds at trial. (See *Viceral v. Mistras Group, Inc.* (N.D. Cal., Oct. 11, 2016, No. 15-cv-02198-EMC) 2016 WL 5907869, 2016 U.S. Dist. LEXIS 140759, at *20-24.)

III. Terms and Administration of Settlement

This case has been settled on behalf of the following class:

[A]ll current and former hourly-paid or non-exempt employees of Defendant within the State of California at any time during the Class Period [January 25, 2019, to January 11, 2024].

(Declaration of Douglas Han, filed on March 13, 2024, Ex. 2 (“Settlement Agreement”),

¶¶ I(D), I(J).)

The settlement also includes a subset PAGA Class of aggrieved employees [hereinafter “PAGA Employees”] who are defined as “all current and former hourly-paid or non-exempt employees of Defendant within the State of California at any time during the PAGA Period [October 13, 2022, to January 11, 2024].”

According to the terms of the settlement, Defendant will pay a non-reversionary gross settlement amount of \$395,000. The settlement agreement provides that the gross settlement amount may be increased proportionately if the actual number of workweeks is determined to be incorrect by more than 10 percent. The gross settlement amount includes attorney fees up to 38 percent of the gross settlement amount (currently estimated to be \$150,100), litigation costs not to exceed \$20,000, a PAGA allocation of \$30,000 (75 percent of which will be paid to the LWDA and 25 percent of which will be paid to PAGA Employees as individual PAGA payments), service awards totaling \$10,000 (\$5,000 per class representative), and settlement administration costs not to exceed \$10,000. The court approves ILYM Group, Inc., as settlement administrator and administration costs not to exceed \$10,000.

The net settlement amount will be distributed to participating class members on pro rata basis according to the number of workweeks they were employed by Defendant. Similarly, the portion of the PAGA payment allocated to PAGA Employees will be distributed to them based on their number of paychecks received during the PAGA Period.

Checks remaining uncashed more than 180 days after mailing will be void and the funds from those checks will be distributed to Legal Aid at Work as the designated *cy pres*

recipient. Legal Aid at Work is a nonprofit organization providing civil legal services to the indigent and primarily devotes its resources to protecting to workplace rights of California's low wage workers. The court approves the designated *cy pres* recipient.

In exchange for the settlement, the class members agree to release Defendant, and related entities and persons, from all claims that were asserted, or that could have been asserted, based on the facts pleaded in the SAC occurring during the Class Period. The PAGA Employees agree to release Defendant, and related entities and persons, from all claims for PAGA civil penalties that were asserted, or that could have been asserted, based on facts pleaded in the SAC or the amended notice Plaintiffs sent to the LWDA. Plaintiffs also agree to a comprehensive general release.

In its order granting preliminary approval, the court approved ILYM Group, Inc. ("ILYM Group") as settlement administrator. On August 15, 2024, Defendant delivered class data to ILYM Group, including the name and mailing address of 206 class members. (Declaration of Nicole Bench ("Bench Decl."), ¶ 6.) On September 12, 2024, ILYM Group mailed class notices to 206 class members via first-class regular USPS mail. (*Id.* at ¶ 7.) The notices informed class members that the response deadline was October 14, 2024. (*Ibid.*) As of the date of Ms. Bench's declaration, March 3, 2025, five notices were deemed undeliverable by ILYM Group. (*Id.* at ¶ 9.) As of the same date, ILYM Group has not received any written disputes, written objections, or requests for exclusion from class members. (*Id.* at ¶¶ 10-12.) ILYM Group estimates that the average settlement share will be \$922.94. (*Id.* at ¶ 15.) The notice process has now been completed.

At preliminary approval, the court found the settlement to be fair and reasonable. Given that there are no objections, it finds no reason to deviate from that finding now. Accordingly, the court finds that the settlement is fair and reasonable for purposes of final approval.

IV. Enhancement Awards, Attorney Fees and Costs

Plaintiffs request enhancement awards in the total amount of \$10,000 (\$5,000 each).

The rationale for making enhancement or incentive awards to named plaintiffs is that they should be compensated for the expense or risk they have incurred in conferring a benefit on other members of the class. An incentive award is appropriate if it is necessary to induce an individual to participate in the suit.

Criteria courts may consider in determining whether to make an incentive award include: 1) the risk to the class representative in commencing suit, both financial and otherwise; 2) the notoriety and personal difficulties encountered by the class representative; 3) the amount of time and effort spent by the class representative; 4) the duration of the litigation and; 5) the personal benefit (or lack thereof) enjoyed by the class representative as a result of the litigation. These “incentive awards” to class representatives must not be disproportionate to the amount of time and energy expended in pursuit of the lawsuit.

(*Cellphone Termination Fee Cases* (2010) 186 Cal.App.4th 1380, 1394-1395, internal punctuation and citations omitted.)

Plaintiffs have submitted declarations describing their participation in this case. Plaintiff Becerril estimates that he has spent over 35 hours working on this case, while Plaintiff Cruz estimates that he has spent over 30 working on this case. The court finds that service awards are justified, and the amounts requested are reasonable. Therefore, the service awards are approved in the amounts requested.

Plaintiffs’ counsel seeks an attorney fee award of \$150,100 (38 percent of the gross settlement amount). (Motion, pp. 2:15-17; 15:1-24:22; Declaration of Douglas Han, filed on March 7, 2025 (“Han. Decl.”), ¶ 8.) Plaintiffs’ counsel submits that Plaintiffs’ lodestar of fees incurred in this action is \$227,210 based on a total of 304.1 hours billed at rates ranging from \$500 to \$900 per hour. (Han. Decl., ¶¶ 10-13 and Ex. 1.) This results in a negative multiplier, suggesting the requested fee award is reasonable based on the range of multipliers that courts typically approve. (See *Wershba*, supra, 91 Cal.App.4th at p. 255 [“[m]ultipliers can range from 2 to 4 or even higher”]; *Vizcaino v. Microsoft Corp.* (9th Cir. 2002) 290 F.3d 1043, 1051, fn. 6 [stating that multipliers ranging from one to four are typical in common fund cases].) Plaintiffs’ counsel also references numerous instances in which California courts have granted fee requests amounting to 38 percent or more of the gross settlement amount. (Han. Decl., ¶ 14; Motion, pp. 17:10-18:9.)

The benefits achieved by the settlement justify an award of attorney fees to class counsel. The court finds that the requested attorney fee award is reasonable as a percentage of the common fund and approves an attorney fee award in the requested amount of \$150,100.

Plaintiffs’ counsel requests reimbursement of litigation costs in the amount of \$15,780.2 and presents an itemized list supporting that figure. (Han. Decl., ¶ 22, Ex. 5.) This is

less than the \$20,000 provided for in the settlement. The court finds the cost reimbursement request to be reasonable and therefore approves an award of litigation costs in the requested amount. The settlement administration costs are also approved in the requested amount of \$6,495, which is less than the \$10,000 maximum set by the agreement. (See Bench Dec., ¶ 17, Ex. 2.)

V. Conclusion

The motion for final approval of class and representative action settlement is GRANTED. The class as defined herein is certified for settlement purposes. The court sets a compliance hearing for December 3, 2025 at 2:30 p.m. in Department 19.

Plaintiffs shall prepare the order in accordance with California Rules of Court, rule 3.1312.

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